

to be recombined. The possibilities for DeFi are substantial, and new innovations continue to grow exponentially, fueled by how easy it is to compose DeFi products. Once a base infrastructure has been established – for example, to create a synthetic asset – any new protocols allowing for borrowing and lending can be applied. A higher layer would allow for attainment of leverage on top of borrowed assets. Such composability can continue in an increasing number of directions as new platforms arise. For this reason, *DeFi Legos* is an analogy often used to describe the act of combining existing protocols into a new protocol. The next section discusses tokenization and networked liquidity, which are advantages to this composability.

Tokenization

Tokenization is a critical way DeFi platforms integrate. Take, for example, a percentage ownership stake in a private commercial real estate venture. It would be quite difficult in traditional finance to use this asset as collateral for a loan or as margin to open a levered derivative position. Because DeFi relies on shared interfaces, applications can directly plug into each other's assets, repackage, and subdivide positions as needed. DeFi has the potential to unlock liquidity in traditionally illiquid assets through tokenization. A simple use case would be creating fractional shares from a unitary asset such as a stock. We can extend this concept to give fractional ownership to scarce resources such as rare art.